BTC / USD

SMALL BODY BREAKOUT

BTC/USD Complete Strategy Guide

60.7% Night Win Rate

66.2% Day Win Rate

2.57x - 3.26x Profit Factor

DERIV | 1H TIMEFRAME | NO INDICATORS | PURE PRICE ACTION

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Complete Strategy Guide | Night + Day Versions

1. Strategy Overview

The Small Body Breakout strategy is an even simpler pattern than the Squeeze. It requires only ONE candle to generate a signal, making it the fastest and most straightforward trading approach you will ever find. The concept is this: when a candle closes with a very small body relative to its total range (less than 15% of the high-low distance), it represents a moment of market indecision. The very next candle that commits to a direction is your entry signal. You trade in the direction that the current candle is moving, capturing the resolution of that indecision. This strategy produces more signals than the Squeeze because the condition is easier to meet (only 1 candle instead of 3), and it has been validated across multiple timeframes with consistently profitable results.

The logic behind this pattern is rooted in how markets resolve uncertainty. A candle with a tiny body and long wicks tells you that buyers and sellers fought to a near-draw during that time period. Neither side won convincingly. But markets do not stay in equilibrium for long. The very next candle tends to tip the balance in one direction as one side gains the upper hand. By entering in that direction, you are essentially riding the first wave of a new commitment from market participants. The backtest results confirm this dynamic: across 1,408 total signals on the 1-hour chart (328 night + 1,080 day), the strategy achieves win rates between 60-66% with profit factors consistently above 2.5x. Cross-validation on 30-minute data shows even stronger results, with the night session reaching 65.3% win rate and a 3.14x profit factor.

2. The Rules (Even Simpler)

This strategy has only two steps. It is the simplest possible trading approach that still maintains a statistical edge. There are no indicators, no calculations beyond one simple division, and no subjective judgment calls. You either see the pattern or you do not. If you can identify a candle and divide two numbers, you can trade this strategy. It is designed for people who want a zero-stress, zero-clutter trading routine that they can execute every single day without fail.

Step-by-Step Setup Identification

Step 1: Look at the most recently CLOSED candle on your 1-hour BTC/USD chart. Measure its body (distance between open and close) and its total range (distance between high and low). Divide the body by the range. If this ratio is less than 0.15 (the body is less than 15% of the total range), the Small Body condition is met. This candle looks like a spinning top or a long-legged doji, with wicks that are much longer than the body. It tells you the market was undecided during that hour.

Step 2: Immediately enter a trade in the direction of the CURRENT candle (the one that is still forming or has just started). If the current candle is moving upward (price is above its open), enter a BUY. If it is moving downward (price is below its open), enter a SELL. Your entry price is the open of the current candle. Set Take Profit at 0.25% from entry and Stop Loss at 0.15% from entry. This gives you a 1.67:1 reward-to-risk ratio, which is even more favourable than the Squeeze strategy. The trade should resolve within 6 candles.

Quick Reference Card

Timeframe	1-Hour (1H) candles
Asset	BTC/USD on Deriv
Condition	Previous candle body/range ratio < 0.15
Signal	Current candle direction: up = BUY, down = SELL
Entry	Open of the current candle
Take Profit	0.25% from entry price
Stop Loss	0.15% from entry price
Risk:Reward	1:1.67 (favourable)
Max Hold	6 candles (6 hours)

3. Backtest Performance

The Small Body Breakout has been backtested on 8,700+ hourly BTC/USD candles with cross-validation on 30-minute and 4-hour timeframes. The table below compares night and day session performance, showing that the strategy is versatile and profitable in both contexts, with the day session offering more frequent trading opportunities.

Night vs Day Session Comparison

Metric	Night Session	Day Session
Total Signals	328	1,080
Win Rate	60.7%	66.2%
Profit Factor	2.57x	3.26x

Metric	Night Session	Day Session
Weekly Consistency	64.8%	90.7%
Monthly Consistency	100.0%	100.0%
Walk-Forward Stability	4.3% difference	1.7% difference

Cross-Timeframe Validation

Timeframe	Night WR	Day WR	Night PF	Day PF
30-minute	65.3%	67.8%	3.14x	3.51x
1-hour (Primary)	60.7%	66.2%	2.57x	3.26x
4-hour	60.8%	60.4%	2.58x	2.54x

The 30-minute timeframe actually shows the strongest results for the Small Body Breakout, with the day session reaching a 67.8% win rate and a 3.51x profit factor. This is because the smaller timeframe generates more signals and captures shorter-term indecision resolutions that are cleaner and more predictable. The 4-hour timeframe maintains profitability but with fewer signals, making it suitable for traders who prefer to check their charts less frequently. Regardless of which timeframe you choose, the strategy maintains a profit factor well above 2.0x across all tested combinations.

4. Risk Management

The Small Body Breakout uses a slightly wider take profit (0.25%) than the Squeeze (0.20%), which gives it a better reward-to-risk ratio of 1.67:1. This means even with a lower win rate, the strategy can be more profitable per trade because each winning trade captures more profit relative to each losing trade. However, the same risk management principles apply. Never risk more than a small percentage of your account on any single trade, always use the specified TP and SL levels, and never chase missed signals. The key to long-term success with this strategy is discipline and consistency. Take every valid signal, use the same position size, and trust the statistical edge that the backtest has confirmed over hundreds of trades.

- Risk no more than 1-2% of your account balance per trade.
- Always use TP = 0.25% and SL = 0.15% exactly as specified.
- Do not move stops or targets once the trade is live.
- Skip missed signals. Never chase a trade that has already moved.
- Maximum 5 trades per day session, 3 per night session.
- After 4 consecutive losses, pause trading until the next session.
- Use the same lot size for every trade. No scaling in or out.

5. Your Daily Routine

For the day session, the routine is the same single-candle check, applied every hour throughout the day. Since BTC/USD trades 24/7, you can implement this routine at any time that fits your schedule. Many traders set an hourly alarm on their phone, spend 30 seconds checking the chart, and either place a trade or go back to their day. The strategy produces an average of 3-4 signals per day, so you will have plenty of opportunities without needing to monitor the chart continuously.

- Set an hourly alarm or reminder on your phone.
- When the alarm goes off, open your BTC/USD 1-hour chart.
- Look at the candle that just closed. Small body (< 15% of range)?
- If yes, check the current candle direction. Enter immediately. Set TP and SL.
- If no, close the chart and return to your day. Check again next hour.
- Review your results at the end of each day. Track your win rate.

6. Why This Strategy Works

The Small Body Breakout exploits the market's tendency to resolve indecision decisively. When a candle has a tiny body and long wicks, it represents a battle between buyers and sellers that ended in a near-draw. This creates a temporary equilibrium point. Markets naturally move away from equilibrium, and the next candle tends to break in one direction as one side gains conviction. By entering in the direction of that break, you are aligning yourself with the fresh momentum that follows indecision. The 0.25% take profit is designed to capture this initial momentum wave before it fades or reverses. The 0.15% stop loss protects you when the break turns out to be a fake-out, which happens approximately 34-40% of the time.

During the night session, this pattern works particularly well because the lower liquidity means that once a direction is established, there is less resistance to the initial move. There are no large institutional orders waiting to absorb the momentum, so the price tends to travel further in the breakout direction before encountering significant opposition. This is why the 30-minute timeframe shows even stronger night-session results (65.3% win rate, 3.14x profit factor) than the 1-hour timeframe, as the shorter timeframe captures these low-resistance moves more precisely.